BGIN Meeting Report

Date: TBD
Location: Virtual Meeting

Executive Summary

The meeting focused on the regulatory framework and ecosystem development for cryptocurrencies, with a particular emphasis on centralized custody, risk allocation, regulatory frameworks, and international cooperation. The discussion was marked by diverse perspectives from industry experts, academics, and policymakers. Key topics included the necessity of a central custodian for stablecoins, the challenges of balancing decentralized technology with centralized structures, and the importance of creating a level playing field between traditional finance and crypto assets. Participants also explored the potential for functional separation within the ecosystem and the need for nuanced regulatory approaches to address emerging risks.

Key Discussion Points

1. **Centralized Custody vs. Decentralized Platforms:**
   - **Economic Rationale:** There was a debate over the economic rationale for centralized custody in a decentralized technology environment. Some argued that it could enhance efficiency and security, while others highlighted potential legal conflicts and single points of failure.
   - **Legal Conflicts:** The need to carefully consider legal conflicts between decentralized platform records and custodian records was emphasized.
2. **Functional Separation:**
   - **Global Trends:** Functional separation is a topic of global discussion, but there is no definitive answer yet. Participants discussed the challenges and benefits of separating functions such as custody, trading, and market making.
   - **Japanese Context:** The paper's section on functional separation was seen as high-level and conceptual, with a need for more detailed, step-by-step guidance tailored to the Japanese context.
3. **Stablecoins and CRO:**
   - **Necessity of CRO:** The necessity of a Chief Risk Officer (CRO) for stablecoins was discussed, given their increasing popularity and the importance of risk management.

- **Confidentiality Issues:** The confidentiality of blockchain addresses and enterprises was identified as a significant issue that needs to be addressed.

4. **Level Playing Field:**
   - **Comparison with Traditional Finance:** There is a need to ensure a level playing field between traditional finance and crypto assets, particularly in terms of payment transparency and regulatory standards.
   - **Enhanced Standards:** The importance of enhancing standards for crypto assets, such as the travel rule, was highlighted.
5. **Regulatory Arbitrage:**
   - **Global Coordination:** The challenge of regulatory arbitrage was discussed, with a need for global coordination to reduce the risk of jurisdictions competing on regulatory laxity.
   - **Protecting Customers:** The importance of protecting customers in case of stress or resolution, especially in cross-border scenarios, was emphasized.

Action Items and Next Steps

1. **Gather Additional Input:**
   - Participants are encouraged to send their ideas and comments to the working group to contribute to the development of the second version of the discussion paper.
2. **Develop Detailed Guidance:**
   - The working group will focus on developing more detailed, step-by-step guidance for functional separation and centralized custody, particularly in the Japanese context.
3. **Enhance Regulatory Standards:**
   - Work on enhancing regulatory standards for crypto assets to ensure a level playing field with traditional finance and address emerging risks such as market manipulation and fraud.
4. **Continue Collaboration:**
   - The working group will continue its collaboration through future Zoom calls, with the next meeting scheduled for 1:30 PM Japanese time after the lunch break.

Detailed Session Summary

Introduction and Opening Remarks: - Professor Morisada opened the session by welcoming participants and setting the agenda. He emphasized the importance of brainstorming ideas to develop a sound market for crypto assets in Japan.

Centralized Custody vs. Decentralized Platforms: - **Economic Rationale:** Participants discussed the economic rationale for centralized custody, drawing comparisons with traditional securities markets where centralized depositories have been established for efficiency and legal clarity. - **Legal Conflicts:** It was noted that there could be legal conflicts between records on decentralized platforms and those in a central custodian. This requires careful consideration to ensure regulatory compliance and market stability. - **Single Point of Failure:** The concept of avoiding single points of failure, as seen in traditional financial systems, was raised as a potential benefit of decentralized structures.

Functional Separation: - **Global Trends:** Functional separation is being discussed globally, but there is no consensus on the best approach. Participants highlighted the need for a nuanced regulatory framework that balances innovation with risk management. - **Japanese Context:** The paper's section on functional separation was seen as high-level and conceptual. There was a call for more detailed guidance tailored to the Japanese market, including step-by-step plans for implementation.

Stablecoins and CRO: - **Necessity of CRO:** The importance of requiring a Chief Risk Officer (CRO) for stablecoins was discussed, given their growing popularity and the need for robust risk management. - **Confidentiality Issues:** The confidentiality of blockchain addresses and enterprises was identified as a significant issue. Participants suggested that this could be addressed through regulatory guidelines and best practices.

Level Playing Field: - **Comparison with Traditional Finance:** There is a need to ensure that crypto assets are subject to the same standards as traditional finance, particularly in terms of payment transparency and regulatory oversight. - **Enhanced Standards:** The travel rule was highlighted as an example of enhanced standards for crypto assets. Participants discussed how these standards could help detect market manipulation and trace assets in case of fraud or hacking.

Regulatory Arbitrage: - **Global Coordination:** The challenge of regulatory arbitrage, where jurisdictions compete on regulatory laxity, was discussed. There is a need for global coordination to ensure consistent regulatory frameworks. - **Protecting Customers:** The importance of protecting customers in cross-border scenarios was emphasized, particularly in the context of stress or resolution.

Closing Remarks: - Professor Morisada thanked participants for their valuable contributions and invited them to send additional ideas and comments. He also encouraged continued collaboration through future working group meetings.

Next Steps: - The working group will continue its work to develop a more detailed version of the discussion paper, focusing on functional separation, centralized custody, and regulatory standards. - Future Zoom calls are scheduled to discuss these topics in greater depth, with the next meeting set for 1:30 PM Japanese time after the lunch break.

Appendix: Full Meeting Transcript (Anonymized)

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28.6 --> 30.0:  This is a meeting transcript.
58.6 --> 60.0:  This is a meeting transcript.
88.6 --> 90.0:  This is a meeting transcript.
118.6 --> 120.0:  This is a meeting transcript.
148.6 --> 150.0:  This is a meeting transcript.
209.3 --> 209.4:  This is a meeting transcript.
209.4 --> 209.4:  This is a meeting transcript.
209.4 --> 209.4:  This is a meeting transcript.
209.4 --> 209.5:  This is a meeting transcript.
235.2 --> 236.6:  you
248.5 --> 256.2:  or let's start that next session about the harmonizatio
n among crypto-assets, stable
256.2 --> 262.5:  coin, tokenized deposit. So this project was originally
 initiated I think three years ago
262.5 --> 273.9:  by, you know, three years ago I think that, you know, w
e held it in Sydney, I think. Then
273.9 --> 281.7:  at that moment, that discussion is not the current one.
 This is a discussion about, you
281.7 --> 289.7:  know, how each different types of so-called digitalized
 cash plays different role and
289.7 --> 295.2:  how we harmonize the different types of digitalized cas
h to create some better ecosystem. But
296.6 --> 303.4:  you know, last year in Japan there was a, you know, JFS
A's committee discussion about
303.4 --> 308.6:  that, you know, placing the crypto-assets in the new re
gulation under the security law.
309.5 --> 318.3:  So that discussion created another discussion point. Th
is is, you know, there are many discussions
318.3 --> 326.0:  that that crypto-assets ecosystem might not be sustaina
ble with aligning that many requests
326.0 --> 331.6:  from regulators. So that question is that, so can we ma
ke that crypto-asset ecosystem
331.6 --> 337.2:  healthy and sustainable? That is a challenging discussi
on. And this is the reason why that
337.2 --> 343.2:  so the group of Japanese experts created that discussio
n paper. We already uploaded that
343.2 --> 350.9:  discussion paper at the page of the BEGIN, Block Number
 14 program. But so we will start
350.9 --> 357.6:  that discussion about that, how we, what, how the curre
```

nt, you know, business model
357.6 --> 365.7: and industrial structure of the crypto-asset and relate
d things looks like. Then how it
365.7 --> 371.7: is sustainable or not sustainable and how we make it su
stainable and healthy. So that
371.7 --> 377.6: is the goal of our discussion. So we already have that
draft discussion paper by Japanese
377.6 --> 385.6: experts. And at the beginning of this session, so I wou
ld like to ask Professor Morrister
385.6 --> 394.0: and the co-author of this discussion paper to explain t
hat discussion paper itself. Then
394.0 --> 403.9: I will ask IMF to provide that current view from IMF ab
out the crypto-asset or stable
403.9 --> 413.3: coin ecosystem. Then we will utilize 45 minutes to have
 the discussion and Q&A or so the idea
413.3 --> 421.0: of the improvement of the discussion paper by using the
 other 45 minutes. Then we will
421.0 --> 426.4: discuss about the way forward. So that is the main stru
cture and goal of this 90 minutes.
427.9 --> 435.9: So let me pass my microphone to Professor Morrister to
start that introduction and explanation
435.9 --> 440.3: what the group has done so far.
442.6 --> 447.3: Thank you very much, Professor Matsuo. I'm Tetsuo Morri
ster from Sofia University. I
447.3 --> 456.6: served as chairperson for the working group at FSA on c
rypto-asset systems. So as mentioned
456.6 --> 463.4: by Professor Matsuo, we have created the discussion pap
er. And I think that most of the audience
463.4 --> 470.9: comes from Japan. So I don't need to explain details of
 the current regulatory systems
470.9 --> 479.7: or the essence of the proposed reform by the expert gro
up. But we have the audiences
479.7 --> 486.0: also from the overseas. So I'd briefly touch on the cur
rent situation and the main proposal
486.0 --> 487.8: by the expert group.
491.3 --> 501.4: Yes, this is the situation of the investment by Japanes
e residents on crypto-asset. As
502.1 --> 510.1: you may know, the number of accounts held by the crypto
-asset exchange have been increased.
510.7 --> 518.4: And it is reported that the majority of the account hol
ders are the middle-income persons.
520.9 --> 529.6: And as you know, in Japan, the crypto-assets, stablecoi
ns, or security tokens are regulated
530.3 --> 539.2: in this separate regulatory framework. And so far, the
crypto-assets are regulated under
539.2 --> 545.5: the Payment Services Act, because when we introduced th
e regulation, we considered that.

547.5 --> 554.9: We focus on the Bitcoin regulation, and it was consider
ed that Bitcoin could serve as a payment
554.9 --> 566.2: tool. But now, some key challenges identified. First, i
nformation asymmetry and numerous fraudulent
566.2 --> 573.6: solicitations. And also, we need to enhance the fair pr
ice formation and credit integrity.
574.4 --> 582.6: And also, cybersecurity incidents have continued to occ
ur. So the basic policy objectives in the
582.6 --> 589.3: working group was to enhance user protection and establ
ish the foundation of sound market.
589.3 --> 597.3: And the report is written in Japanese, but very recentl
y, the summary of the report was
599.5 --> 602.6: listed on the website of FSA.
605.5 --> 614.2: The essence of the proposed reform is the first revisio
n of the legal framework, and it is
614.2 --> 620.5: proposed to shift the regulation of crypto-assets from
the Payment Services Act to the Financial
620.5 --> 628.5: Instrument Exchange Act, that is the regulation of fina
ncial investment products. And enhanced
628.5 --> 635.8: regulation of crypto-asset service providers are propos
ed. And also, enhanced disclosure
635.8 --> 646.2: is one of the key points of the proposed reform. And th
e proposal divides two types of the crypto-asset
646.2 --> 654.6: and specifies who is mainly in charge of the disclosure.
 And also, we introduced
655.3 --> 664.9: continued disclosure. And also, not only these parts, b
ut the proposal covers various issues,
664.9 --> 671.3: other than the regulation of crypto-asset service provi
ders, such as enhanced regulation of
671.3 --> 679.1: unregistered businesses, regulation of investment manag
ement or advisory services or crypto-asset
679.1 --> 690.6: lendings. And also, yes, we are going to review the pro
posals made for the revision of the holdings
690.6 --> 698.7: and business by the banks and securities firms and thei
r groups. Also, introduction of insider
698.7 --> 707.9: trading regulation is one of the points which is propos
ed. And regarding the regulation of
707.9 --> 716.8: crypto-asset service providers, Mr. Kawai will touch on
 that later in this session, but various
717.6 --> 727.3: enhancements of the regulations are proposed in the rep
ort by the expert group.
728.3 --> 735.2: And also, one more important issue is cyber security me
asures. Cyber security is one of the
735.2 --> 743.1: issues which is heavily discussed during the session. A
nd the report says, of course,
743.7 --> 752.6: the effort of individual intermediaries are important,
but also some joint effort as an

752.6 --> 759.0: industry and also the support from the FSA or the gover nment is also important.
760.5 --> 768.7: And also, the role of self-regulatory organization, thi s is also important, and various tasks
768.7 --> 776.7: or will be handled, will need to be handled by self-reg ulatory organizations.
778.3 --> 787.8: And finally, the basic idea of the working group is the investor should bear the risk
788.6 --> 796.9: of the fluctuation of crypto-assets, but other risks su ch as the securities risks or the
798.0 --> 807.0: insolvency of intermediaries should not be bared by inv estors. So, the report tries to
808.3 --> 815.3: create a foundation for such risk revision. However, re gulatory framework must not be
817.5 --> 823.8: only theoretically sound, but practically feasible. Thi s is important. And in order to
824.6 --> 831.4: increase the feasibility, we need to discuss business m odels of service providers,
832.4 --> 840.1: and also the broader market and industry structures, an d appropriate allocation of
840.1 --> 848.3: various risks. Crypto-asset business contains various r isks, so how to allocate such kind of
848.3 --> 854.0: risks should be discussed in more detail. And for such purpose, government, industries,
854.2 --> 862.0: and academia should engage open discussion, and this is the main purpose that we produce
862.0 --> 866.3: a discussion paper and would like to listen your view. Thank you very much.
867.6 --> 873.9: Thank you very much, a great introduction. And I would like to pass my microphone to the
874.7 --> 890.6: author of each chapter of that discussion report. It's not so long, but can I ask Kataema-san to
890.6 --> 900.9: explain about that, the list of stakeholders in that re port, then I would ask other authors to
900.9 --> 908.0: explain that each section. Okay. Can you, if possible,
908.8 --> 913.5: display the English version of the discussion paper, if possible?
917.7 --> 921.8: Do you have a screen sharing of the paper?
929.3 --> 938.4: While we are waiting for the sharing these slides, let me explain the start point of the,
938.9 --> 950.3: how can we list the entities. And while we all know tha t there is a tremendous number of the
950.3 --> 960.5: stakeholders in the blockchain space, however, since we get to the changes of regulations,
962.1 --> 974.4: we primarily focus on the entities who are directly or indirectly in second layer to general
974.4 --> 986.5: public. That being said, it started from the exchanges

and the service providers who might
987.1 --> 1002.0: provide the service via exchanges. Perhaps we'll see t
he page
1002.0 --> 1010.7: of who lists the primary stakeholders.
1062.0 --> 1079.0: Page six, probably. Yeah. As I said before, exchange
operators starting as a top part.
1080.4 --> 1088.0: And the custodians, as most of the international audi
ence know that who's the specialized custodians
1088.0 --> 1095.2: are. In the Japanese context, there's no such a speci
alized custodian as of yet,
1095.8 --> 1106.1: but this function is provided via the subcategories o
f the exchanges. Or you need
1106.1 --> 1114.1: to have the exchange registration in order to provide
 custodial functions. And on the third,
1114.1 --> 1123.3: there's a token issuer that Professor explained. In t
he role type one, there's a token issuer
1123.3 --> 1131.4: primarily identified or safely claimed as an issuer.
And on the type two, there's no such
1131.4 --> 1142.5: a thing, but the exchanges need to explain how the is
suers of the crypt tokens provide
1142.5 --> 1150.5: like minting or some others. And in direct participan
t to those ecosystems, there's a
1150.5 --> 1158.6: market maker. Again, it's primarily done by the inter
national players and the state services
1158.6 --> 1167.5: providers. And on the sixth, there's an electronic pa
yment issuer. Again, it's a
1167.5 --> 1175.0: legal term in the Japanese context, but certainly in
the international context, it's
1175.0 --> 1186.5: stable coin issuers. On the seventh, again, it's a ki
nd of handler who provides, who deal with the
1186.5 --> 1193.4: electronic payment and transactions. On the seventh,
on this eighth,
1197.8 --> 1207.7: there's again an indirect participants who can deal w
ith electronic payment means and
1208.1 --> 1217.2: service intermediaries who provides the conduct and c
onduit to those service issuers that
1217.2 --> 1224.8: explained before. And there's a critical system opera
tor. Again, it will be defined by the new
1224.8 --> 1233.2: finance exchange instrument law that provides the cri
tical system for managing cryptocurrencies to
1233.2 --> 1243.3: exchange operators. And while there's no such place i
n the, so Japan at the moment, there's
1243.3 --> 1253.3: a non-custodial world providers and the DeFi, so-call
ed DeFi protocol developers who develops,
1253.9 --> 1263.2: but claim that they don't operate such protocols by t
hemselves. I think that's the end of the
1263.2 --> 1276.7: list. Thank you very much. Next, Kitazawa-san, explai

n about current, you know, current
1276.7 --> 1283.5: analysis or current structure. Thank you, Matsuo-sens
ei. So,
1283.7 --> 1289.5: my name is Nao Kitazawa, and Matsuo-sensei mentioned
that the fundamental purpose of
1289.5 --> 1293.5: this discussion is to really sort of pursue for the s
ustainability of the business.
1294.6 --> 1301.5: I think I'm eligible to talk about it because I used
to run Clean Beach Japan, and we have to
1301.5 --> 1308.9: pull back from the market back in 2023 after a really
 thoughtful discussion with the regatta
1308.9 --> 1318.2: as to how the global player can do a business here in
 Japan. But it was really, I would say,
1318.2 --> 1327.6: long, long processes. So, with that, I would like to
share the audience the analysis of the
1327.6 --> 1338.1: current business structure. So, as Morita-sensei ment
ioned, we broke it down to initially the two
1338.1 --> 1345.8: types, which is to say that number one, it's the fund
raising business activity type, which includes
1345.8 --> 1351.9: the IEO, as Morita-sensei mentioned, and type two, no
n-fundraising, non-business activity type.
1352.6 --> 1361.7: And in addition, we added Stablecoin because Stableco
in itself has already been enacted and
1361.7 --> 1368.1: valid here in Japan, and we're having lots of expecta
tion, high expectation towards this
1368.1 --> 1377.0: as well. So, let's just go through each type of the b
usinesses. So, I'll go first about the type
1377.0 --> 1382.8: one fundraising business activity type cryptocurrenci
es. So, for those of you who are
1382.8 --> 1388.3: not really familiar with what's happening in Japan, I
EO, the initial exchange offering,
1389.1 --> 1396.5: continues to be viable here in Japan. That being said,
 I would say all listed IEO tokens are
1396.5 --> 1402.7: currently trading below their all-time highs, and in
many cases, significantly below
1402.7 --> 1409.3: their initial offering prices as well. So, the framew
ork in the business structure here is that
1409.3 --> 1415.4: it's a multi-layered governance structure, whereby yo
u've got the crypto exchanges as the primary
1415.4 --> 1422.5: sellers, but it's also screened by the self-regulator
y organization, i.e. the JVCA,
1422.5 --> 1430.0: and then you also have the ongoing disclosure obligat
ions. So, it's a bit akin to the security
1430.5 --> 1438.1: IPO processes, but there are some that are lacking an
d whatnot, and that's exactly what the current
1438.1 --> 1446.6: JFSA discussion ought to be. But momentarily, that's
the circumstance at this point in time.

1447.4 --> 1454.5: Now, I'm just going to skip the ideal outcomes, but the challenges are pretty much what we have
1454.5 --> 1467.0: seen in any part of the world about this IEO, the challenges that the IEO model would be facing. So,
1468.0 --> 1477.1: you've got more or less black box listing criteria, because most of these listings
1477.1 --> 1482.9: is actually conducted by the crypto exchanges, although there's some overarching rules. But that
1482.9 --> 1491.2: being said, that would actually allow some of the crypto exchanges to really basically monopolize,
1491.2 --> 1501.4: if not monopolize, the industry at this point in time. And as I mentioned, the token price is not
1501.4 --> 1509.8: really beneficial for the latecomers, i.e. the retail investors. So, the absence of the user
1509.8 --> 1518.7: centric IEO models, and the way how it works is that there's so much of this price distortion risks
1519.9 --> 1528.5: from various reasons. For instance, simultaneous overseas listings,
1529.4 --> 1534.6: and you would actually have significant influence of the affiliates, influences in price formation.
1535.0 --> 1542.2: So, all those external factors are really affecting the market. And you would think that
1542.2 --> 1549.3: IEO happens in Japan, but more often than not, there are simultaneous stuff happening
1549.3 --> 1556.4: elsewhere, whether that's a decentralized exchange or whether that's a global exchange.
1558.6 --> 1565.3: So, I'll go to the type two, the non-fundraising, non-business activity crypto assets. So,
1566.0 --> 1576.0: that's the Bitcoin and Ethereum of the world. Now, the ideal business,
1576.9 --> 1584.9: I would say structure is such that you wouldn't have, I mean, Bitcoin doesn't have an issue per
1584.9 --> 1594.3: se. So, you would really have the ability of the crypto exchange to be able to really keep abreast
1594.3 --> 1603.6: of what's going on in terms of the protocol changes and whatnot. And so that the retail
1603.6 --> 1610.7: investors, the lay people will be more or less sort of protected by those crypto exchanges
1611.4 --> 1614.4: or the self-regulated organization. But that being said,
1616.9 --> 1625.0: there's a security risk to much extent in a sense that, I mean, a few aspects. First of all,
1626.3 --> 1633.1: in Japan, many of these crypto exchanges, the registered crypto exchanges actually outsource
1633.1 --> 1643.0: their functions to the different sort of outsourcees. Sometimes they really delegate
1643.0 --> 1652.4: so much of the function to the extent that there's re

ally not many people within the company
1653.2 --> 1660.5: just buried enough to obtain the license. So, essenti
ally what that happens is that there's
1660.5 --> 1668.1: going to be, I should probably say fragmentations as
opposed to concentration, but supply chain
1668.1 --> 1674.7: fragmentation due to outsourcing, which really sort o
f dwindles this notion of the security
1674.7 --> 1683.7: and thereby creating more loophole in terms of the se
curity. And I skipped a few things, but
1684.8 --> 1694.7: they call it the Galapagosization. Basically, it's al
l this term where we've got so much of
1694.7 --> 1703.5: these rules and regulations and businesses here in Ja
pan, which really sort of stands out as sort
1703.5 --> 1713.2: of a unique environment and ecosystem. And more often
 than not, it is really sort of distanced
1713.2 --> 1718.2: from the rest of the world. And in a crypto exchange,
 and especially in this type two,
1718.8 --> 1729.2: the price diversion is quite of the significance. So,
 in short, it's so expensive to buy crypto in
1729.2 --> 1740.5: Japan, given whether that's the reason that is the le
ss liquidity or that the business model itself
1740.5 --> 1753.2: is really sort of focused on this revenue driven via
crypto brokerage market. And it's really sort
1753.2 --> 1765.7: of easy to add on this fees and thereby bringing up t
he stock, the prices. Now, going down to page
1765.7 --> 1774.7: three B, oh, no, sorry, I should have mentioned Stabl
ecoin, excuse me. So, Stablecoin has just
1774.7 --> 1782.8: started. So, we still haven't seen the actual real ch
allenges per se. So, it's more or less
1782.8 --> 1793.5: heuristic or potential. But a few challenges that I w
ould like to mention is that, for instance,
1794.5 --> 1803.2: if the global Stablecoin are to come to Japan, and yo
u would, I mean, that issue doesn't need
1803.2 --> 1813.1: to register, but the one that's handling that global
Stablecoin needs to be registered.
1813.7 --> 1823.4: And that there's the full custody, asset custody requ
irement, so that, in effect,
1823.5 --> 1831.2: there's going to be dual asset custody structures tha
t will really sort of stifle
1832.0 --> 1838.0: the capital requirement of capital efficiency of such
 Stablecoin.
1842.3 --> 1848.3: And probably a bit of a biggest delineation of respon
sibility between issues and exchanges.
1849.5 --> 1857.5: Well, let's see how it goes, because we have seen som
e Japanese, Japan born crypto, I mean,
1857.5 --> 1862.4: Stablecoin coming into the market. So, let's see what
 happens. But at this point in time,

1862.5 --> 1867.4: we're yet to see who's doing what, what the roles and
 responsibilities are.
1868.4 --> 1873.5: Now, I've spoke too much, so I'm going to skip most o
f the things, because I pretty much have
1874.0 --> 1880.2: talked about it in my previous cases. But I just want
ed to add a few things. So,
1880.9 --> 1887.5: it's going down, all the way down to parentheses, I w
ould say,
1889.5 --> 1896.0: for market makers. So, Kawai-san had actually alluded
 to this market maker as well. But
1896.6 --> 1904.6: basically, they are quite of the thing, because essen
tially, they're basically global folks,
1905.1 --> 1913.7: and they're there to really sort of leverage their gl
obal footprint, so that they could
1914.2 --> 1923.2: do an arbitrage, or they could take the advantage of
the fact that they could reach out to any of
1923.2 --> 1933.3: the market, versus the retail customers here in Japan
 would only have access to a crypto exchange
1933.3 --> 1938.7: via the Japanese registered crypto exchange. Well, I
wouldn't say only, I mean, you know,
1938.7 --> 1942.8: if they were savvy, they could use whatever the crypt
o exchange, the global ones that they want.
1943.1 --> 1949.4: But, you know, as the law states, the lay people are
basically, you know,
1951.7 --> 1957.4: purported to really sort of use this Japanese local c
rypto exchanges. Essentially, what's
1957.4 --> 1965.7: going to happen is that there's a huge arbitrage oppo
rtunity, or, you know, a symmetry of capital,
1965.9 --> 1972.3: information, price, and what have you. So, I would li
ke to mention that market maker
1972.9 --> 1980.1: is some of these, you know, missing pieces in terms o
f, you know, thought process when thinking
1980.1 --> 1988.0: about the new regulatory framework. I will pause here,
 and I will hand back the mic to Matsuo-sensei.
1988.3 --> 1995.6: Thank you very much, and then next will be by Yamanak
a. Before that, Kawai-sensei has some words.
1997.2 --> 2004.1: Hi, everybody. Good morning. My name is Ken Kawai, a
partner under Morita Motsune,
2004.2 --> 2009.2: a Japanese law firm. I'm going to focus on the new re
gulations to come,
2010.6 --> 2018.7: what the industry players need to do under the new re
gulations. So, as Morita-sensei
2019.7 --> 2029.8: explained, the Financial System Council Working Group
 recommended the cryptos to be regulated
2029.8 --> 2035.6: under the Financial Instrument Exchange Act, FIEA, ra
ther than the Payment Service Act.
2036.2 --> 2048.2: So, the new regulations will be submitted to the Diet

 soon, and we expect it will be
2048.7 --> 2056.7: passed by the Diet by summer, and then within one yea
r, it will be implemented.
2057.9 --> 2067.0: So, it's going to be a massive change of the regulati
ons. So, I'm going to talk about what
2067.0 --> 2075.8: the industry players need to do. So, that means, firs
t, the issuers, second, the intermediary,
2075.8 --> 2085.0: the VASPs, and the self-regulatory body, the JVCA in
Japan. So, with regard to the issuer,
2085.4 --> 2099.2: so as Kitazawa-san mentioned, the new regulations wou
ld have the two categories of cryptos.
2099.2 --> 2106.3: First, Kitazawa-san mentioned Type 1. Type 1 is centr
alized-type cryptocurrency,
2107.2 --> 2113.8: and the second type is non-centralized-type cryptocur
rency. So, with regard to centralized
2113.8 --> 2123.9: cryptocurrency, there is an issuer. So, under the Pay
ment Service Act, we have no rules to
2123.9 --> 2134.5: oblige the issuer to do the disclosure. So, there's n
o, let's say, specific information
2134.5 --> 2144.8: type needs to be disclosed. But under the new regulat
ions to come, we expect that issuers of
2145.2 --> 2154.9: non-centralized cryptocurrency need to do the disclos
ure in accordance with the current
2154.9 --> 2161.7: securities rules. It's going to be, most of them are
similar, but of course, there are some twists
2162.3 --> 2167.0: based on the difference between the crypto and securi
ties. It's not securities regulations,
2167.0 --> 2176.5: but what the investors need to know is very similar.
So, they are going to have the
2176.5 --> 2182.8: disclosure obligation, and of course, there's a punis
hment if they don't do any obligations when
2182.8 --> 2189.9: they raise the money. And with regard to the cryptocu
rrency exchanges, perhaps,
2189.9 --> 2204.2: the main part of the new regulations would actually b
e here. So, of course, the BASPS itself
2204.2 --> 2216.3: needs to disclose the important information that the
investors should know. Currently, it is mainly
2219.1 --> 2228.5: stipulated in the self-regulatory rules, but after th
e implementation of new regulations,
2229.0 --> 2246.3: it will become their obligations under the law. And s
econd, what is very important is that
2247.8 --> 2260.3: each exchange needs to enhance their governance. For
instance, they need to have the system to
2260.3 --> 2270.2: detect insider trading or unfair trading under the la
w. And also, they have to accumulate the
2270.2 --> 2278.3: reserves of funds, which will be paid to the investor
s or the users when some illicit activity

2278.3 --> 2286.6: occurs or the cybersecurity attack occurs. That means
 hacking. And if, let's say, the exchanges
2286.6 --> 2298.4: lose money by hacking, they are going to use these re
serve funds. I don't go into the details
2298.4 --> 2310.3: because of the time constraints, but most of the JVCA
's current obligations under the current
2310.3 --> 2320.3: self-regulatory body rules will become the obligation
 under the law.
2321.3 --> 2336.7: And I would like to talk about insider trading. Curre
ntly in Japan, let's say,
2336.8 --> 2344.6: manipulating of the market is prohibited, not only wi
th the securities but also the cryptos.
2344.6 --> 2351.3: But insider trading regulations are not yet implement
ed. But under the new rules,
2351.9 --> 2357.5: the insider trading of the cryptos will be also banne
d under the Japanese law.
2357.5 --> 2374.0: And what is difficult is what is the insider trading
in cryptos and how to detect those
2374.0 --> 2380.8: kinds of activities. Of course, let's say, the crypto
 exchange will be able to monitor
2380.8 --> 2390.6: the trading occurring in their platform. But let's sa
y, with regard to some types of cryptos,
2391.7 --> 2401.7: it is, let's say, traded around the world. So to what
 extent the Japanese exchange or the JVCA,
2401.9 --> 2410.1: the self-regulatory body, needs to monitor such illic
it trading? So this is going to be a real
2410.1 --> 2415.6: challenge to create the mechanism of insider trading
detecting.
2417.8 --> 2423.6: And the third, the third body is the self-regulatory
body, the Japan Virtual
2423.6 --> 2431.9: Currency Exchange Association, JVCA. Currently, they
have, in Japan,
2431.9 --> 2440.5: in each financial industry, it has a self-regulatory
body, single regulatory body,
2441.6 --> 2449.6: self-regulatory body. And this is JVCA in terms of cr
yptos. And they are required to
2449.6 --> 2457.6: strengthen the governance, current governance. And th
ey need to have the independent committees
2457.6 --> 2468.8: to strengthen the review of the crypto assets to be l
isted. In Japan, in order for each exchange
2468.8 --> 2481.4: to list a new token, they need to be reviewed by the
JVCA. And the working group reports
2481.4 --> 2493.9: required for them to do it more diligently. So this i
s the third one. And of course,
2495.4 --> 2504.4: maybe I talk about number five, addressing unfair tra
ding practice. So the self-regulatory body
2504.4 --> 2514.4: is required to lead the conversation or the communica

tion between the regulator and the
2514.4 --> 2525.1: exchanges to detect the unfair trading, including ins
ider trading. We need to think about this
2526.3 --> 2531.3: impact on that. Okay, let me pass to the next speaker.
2538.4 --> 2546.7: Okay. I've prepared a brief document for this present
ation. So let me share my screen first.
2569.2 --> 2577.4: I think we are running out of time, so let me cover.
So I'll cover the four areas,
2577.6 --> 2584.0: the revenue implications, the cost implication, the p
roposal on the shared custody infrastructure,
2584.9 --> 2591.1: and the three-structure hypothesis about the industri
al futures.
2591.1 --> 2601.0: So I want to start with the current situation. Accord
ing to JFSA, approximately 90% of Japanese
2601.0 --> 2610.2: crypto exchanges are currently running out of loss. S
o we also know that from the traditional
2610.2 --> 2617.5: financial industry, that the compliance costs consume
d on average about 20% of revenues.
2617.5 --> 2626.7: And after the EU's MECA regulations, they said that a
round 20% of smaller exchanges were expected
2626.7 --> 2636.0: to close or merge. And as we talked about that, the F
IEA transition will arrive at the
2637.8 --> 2643.6: industry that is already financially fragile. So that
's the thing we need to discuss today.
2644.5 --> 2654.7: And also, the revenue picture has two sides. On the l
eft side, there are new time pressures.
2655.6 --> 2663.3: So if the suitability requirements may cause smaller
retail investors to stop using their
2663.3 --> 2671.8: crypto exchanges, this is very significant because mo
re than 90% of our Japanese users,
2671.8 --> 2680.1: investors, currently transact in the amounts below th
e 500,000 yen per trade.
2682.9 --> 2691.0: And also, we have to mention that the stronger disclo
sure rules will also improve the price
2691.0 --> 2698.8: transparency, which may reduce the spread revenue ove
r time. And on the right side,
2704.7 --> 2716.2: the FIEA transition creates four new revenues streams
 that do not exist under the current
2717.1 --> 2724.0: Payment Services Act. The first one is the investment
 advisory and the discretionary
2724.0 --> 2730.9: management services. The second is the IEO underwriti
ng fees. And the third one is the
2732.7 --> 2749.4: and at the moment in Japan, the maximum rate of 55% i
n tax is going to be 20%.
2750.5 --> 2760.1: And the fourth one is the tokenization where assets c
reate new business areas.
2760.1 --> 2768.7: But also, we have to mention that, however, all four

areas, opportunities requires
2770.4 --> 2776.9: capabilities and that most similar, smaller operators
 do not have at the moment.
2778.1 --> 2785.2: Yeah, so this transition will accelerate the gap betw
een the large and small players.
2786.8 --> 2795.3: Now, I turn to the costs. The challenge here is not o
nly the size of costs, but also that
2795.3 --> 2803.2: the distribution itself. The FIEA compliance requires
 simultaneous investors across five areas
2803.7 --> 2810.1: inside a training provision system. I think we can sk
ip this. We've already mentioned all of them.
2810.1 --> 2819.8: And this all happened at the same time, not one by on
e. So, for large operators,
2820.0 --> 2826.4: this could be manageable, but it's not for the smalle
r players.
2827.8 --> 2836.3: So, as a result, the small firms face binary choices.
 Either it goes through the
2836.3 --> 2840.7: mergers and acquisitions or specializing the specific
 function.
2841.6 --> 2847.8: So, a firm that cannot do either will face the pressu
re to exit market.
2851.3 --> 2859.0: And also, this brings me to the specific proposal. To
day, I will introduce the two
2859.0 --> 2867.9: complementary approaches. The model one is the centra
lized token custodian. Currently,
2869.0 --> 2875.1: every exchange independently bears the full cost of t
he infrastructure,
2876.3 --> 2884.8: private key management, and the security audits. So,
maybe we can introduce the
2886.3 --> 2893.8: specialized centralized custodian that would serve as
 a shared industry infrastructure,
2894.7 --> 2903.3: similar to the centralized trust bank in Japan, in th
is traditional securities sector.
2904.8 --> 2909.1: And the model B is the ISAC approach. Yeah, we've alr
eady mentioned this.
2909.9 --> 2919.3: Yeah. Okay. So, now I turn to the three-structure hyp
othesis. They are presented
2919.3 --> 2925.2: as a hypothesis, not a conclusion. So, I welcome disa
greement and discussion.
2926.2 --> 2934.5: So, hypothesis one is like a functional separation. T
hat is the most important structure
2934.5 --> 2945.4: and requirements for the sound crypto asset industry.
 So, EOSCO has already mentioned that
2947.5 --> 2954.8: identify the vertical integration. I mean, the one fi
rm performing all functions as an
2955.3 --> 2966.7: industrial primary conflict of interest program. As w
e all know that the FDX collapse in 2022

2967.8 --> 2975.7: demonstrated exact why, when custody, the proprietary trading, and the customer asset
2975.7 --> 2985.0: management are in the same firm with no separation, large-scale misappropriation
2985.0 --> 2993.9: become structurally possible. So, the key distinction in the shown on this side,
2994.8 --> 3001.8: what should be, I mean, what we need to talk about today is the what should be competed on,
3001.8 --> 3004.8: or what should be shared. Yeah, that's it.
3008.0 --> 3014.6: Okay. So, I think that we are already running out of time. So, in the paper,
3017.5 --> 3025.3: I've recommended so many things to do, which we need to discuss. Yeah. Okay. Yeah. I think
3025.3 --> 3037.2: we can conclude. Thank you very much. Before going to the discussion time,
3037.5 --> 3041.9: but I would ask Sugimoto-san to provide a perspective from IMF.
3042.9 --> 3047.9: Thank you very much. Matsuo-san, how many minutes do I have? Five minutes? Ten minutes?
3048.3 --> 3054.4: Ten minutes. Okay. Thank you. So, my name is Nobu Sugimoto. I'm from the International Monetary Fund
3054.4 --> 3062.4: and I'm in charge of financial regulation supervision, including crypto and stablecoin
3062.4 --> 3068.5: and the regulation supervisions. Before going into my presentation, let me briefly explain what
3068.5 --> 3075.7: we are doing, what we are doing, the crypto regulation supervision. We are doing three
3075.7 --> 3081.9: things. One is to do the FSAP, Financial Sector Assessment Program, that every five years we come
3081.9 --> 3088.9: here in Japanese authorities, FSA and the VOJ, to discuss about financial stability implications
3088.9 --> 3094.5: and also quality of the regulation supervision. And we often cover crypto regulation supervision
3094.5 --> 3101.2: recently. We started that from 2018, from Switzerland and Singapore, and then in major
3101.2 --> 3107.4: jurisdictions we cover crypto and other fintech issues. And the second issue is about TA,
3107.4 --> 3114.2: Technical Assistance, and recently we have received a significant number of requests from
3114.2 --> 3120.8: member countries. We have 119 members, including very small, low-income countries and the emerging
3120.8 --> 3126.6: market. And after the establishment of the global standard, like FSB high-level recommendation
3126.6 --> 3135.3: and IOSCO standard, but the committee standard, CPMI, clarification, many jurisdictions are going
3135.3 --> 3143.4: to implement both the crypto regulation and also stablecoin regulation supervisions, and they need

3143.4 --> 3151.9: somebody to help. And then we are often asked to help, and we send a lot of people to help out
3151.9 --> 3157.4: in the emerging market and low-income country. That's the second thing we are doing. And the
3157.7 --> 3165.6: third one is the lesson learned from those two exercises, and we provide those lessons to the
3165.6 --> 3171.6: standard setting body, FSB, IOSCO, and the committee. And we recently have involved two
3171.6 --> 3180.2: peer-reviewed exercises done by FSB and IOSCO on the crypto and stablecoin implementation of the
3180.2 --> 3187.9: standard. So I prepared very quickly the presentation, and I will spend maybe seven
3187.9 --> 3201.2: minutes on this. And we published one paper. Let me share. All right. So on the stablecoin,
3202.0 --> 3206.5: and can you see my slide well?
3210.2 --> 3223.7: Yeah. So we published the department paper, and I'm one of the key authors in December 2025
3223.7 --> 3230.8: focusing on stablecoin. And the paper is about 30, 40 pages, and which cover those issues.
3231.3 --> 3236.6: Today I will pick maybe two or three points which may be relevant to the discussion here,
3237.1 --> 3243.8: and maybe some of the issues where that maybe many of the audience here are Japanese or
3244.3 --> 3251.1: Japanese colleagues may not be familiar with. So one issue I would like to highlight is that
3251.1 --> 3259.1: the importance of the cross-border flows. And luckily that we are still finding that
3259.1 --> 3266.4: the main use case of the stablecoin are still in the crypto trading. And of course we are seeing
3266.4 --> 3273.7: some pickup in the payment side. One of the estimation from the industry is 80% of the
3273.7 --> 3280.2: transactions are done by bots and arbitrage trading, and which is good news to us because
3280.2 --> 3289.8: if that use case moves toward payment and other more legitimate use cases, then I think that
3289.8 --> 3297.7: authority needs to work very rapidly to develop regulation supervisions. So far that is not the
3297.7 --> 3304.5: case. But we are seeing that the cross-border flow is increasing quite significantly. So the
3304.5 --> 3314.4: right up chart is showing that our estimation of the cross-border transaction. Left one is
3315.4 --> 3323.1: the transaction volume of Bitcoin and Ether, and then the right two bar is the cross-border
3323.1 --> 3329.9: transaction volume of USDT and USDC. The middle chart is based on the chain analysis data,
3329.9 --> 3337.0: and the right chart is our own estimations. And it's showing that the transaction volume,

3337.2 --> 3345.4: I think this is 2024, annual transaction volume, was over 1 trillion. And I understand that the
3345.4 --> 3354.9: USDC and USDT total transaction volume was like maybe 23 or something in 2024. So it's already
3354.9 --> 3365.2: 5% of the cross-border flows. And the right below chart is showing the net flow among the regions,
3365.8 --> 3373.6: and this is quite shocking to me actually. So you see that North America is receiving 21 billion
3374.2 --> 3382.0: from Asia and Pacific and Europe. So Europe is contributing the inflow to the North America
3382.0 --> 3391.4: by 7 billion. And the same, Asia and Pacific about 7.5 billion flowing from Asia and Pacific
3391.4 --> 3398.6: and Europe into North America. And the market size of the stablecoin is like 300 billion or maybe
3398.6 --> 3410.9: something like that. So 21 billion annual inflow is quite shocking to me. And so the concern we
3410.9 --> 3420.0: have is if this trend continues, maybe that creates significant capital outflow issue from
3420.0 --> 3424.3: the low-income country and the emerging market. And many authorities in the low-income country
3424.3 --> 3430.1: and the emerging market are worried about that kind of scenario. And that is why people are
3430.1 --> 3437.4: asking us for many technical assistance and discussions. And so to respond to those requests,
3437.4 --> 3444.2: we are trying our best to help them to identify and address their concerns.
3446.5 --> 3452.9: And I think this is quite familiar with you, but I would like to highlight two unique features of
3452.9 --> 3462.3: the stablecoin. One is that value. So even though many investors are kind of expected that they will
3462.3 --> 3470.3: be able to redeem at par, many investors cannot. And they need to rely on the secondary market.
3470.7 --> 3481.4: So we are explaining to many authorities that the stablecoin current business model is quite
3481.4 --> 3487.5: heavily relying on the secondary market and the market makers. And the second issue is about,
3487.5 --> 3493.8: again, related with that I just talked, the constrained redemption. Many retail investors,
3494.1 --> 3498.1: especially in the low-income country and emerging market, don't have any redemption right.
3498.8 --> 3503.8: And even after the implementation of the regulation supervision where maybe in the
3503.8 --> 3508.9: advanced country, including retail investors, may be able to have a redemption right,
3509.1 --> 3514.9: that may not be the case in low-income country in the emerging market in the near future at least.
3515.6 --> 3520.4: And then the third issue is about the issue of the re

demptions. Many jurisdictions,
3520.8 --> 3527.0: even though without the global standard, many jurisdi ctions are prohibiting at least
3527.0 --> 3535.9: the direct remuneration from the stablecoin issuers. And that is probably helpful to at
3535.9 --> 3543.3: least slow down or address the concern of the bank ru n or bank disintermediations.
3545.9 --> 3553.6: And from now, I will talk about how we are seeing tha t similarity and difference among the
3553.6 --> 3560.2: various jurisdictions implementation of the stablecoi n regulation supervisions.
3560.9 --> 3567.2: There are five similarities. One is that the major ju risdiction requiring issuer to be the legal
3567.2 --> 3573.6: entity authorized by the supervisors. And then they r equire a full one-to-one backing of the
3573.6 --> 3581.3: stablecoin with high-quality liquid asset. And many i mpose the segregation and safeguarding
3581.3 --> 3587.6: of the reserve asset. They also grant the statutory r edemption right to the holders.
3588.4 --> 3593.6: And then many jurisdictions profit issuer from paying interest, as I explained.
3594.2 --> 3600.2: The difference, there are six difference. One is who is eligible issuers. And the biggest
3600.2 --> 3607.4: difference is where the bank can issue either directl y or indirectly through the subsidiary
3607.9 --> 3614.3: can issue the stablecoin. And if the bank can issue t he stablecoin, what kind of potential
3614.3 --> 3622.3: requirement may be applicable to either subsidiary or direct issuing model? That is a big debate.
3622.9 --> 3629.2: And second issue is that application to the foreign i ssuers. Many jurisdictions don't have
3629.2 --> 3638.5: a clear position yet how to deal with foreign issuers stablecoin. Genius Act or Singapore are
3638.5 --> 3647.4: a good example where they are more relying on foreign authorities through some equivalency
3647.4 --> 3655.5: or mutual agreement requirement. But for example, EU is requiring the legal entity domicile in their
3655.5 --> 3663.8: in their regions. And the third one is timeliness. So how many days that the
3664.5 --> 3673.8: redemption need to be made? So I think the recent OCC, the consultation paper is suggesting two
3673.8 --> 3681.2: days, which is one example. And the fee structures, e specially redemption fee is quite important
3681.2 --> 3690.1: debate. And some jurisdictions require a reasonable l evel of fee and especially EU require
3690.1 --> 3701.3: no non-redemption fee while the recovery plan is not yet kicked in. The fourth one is the

3701.3 --> 3711.9: genius act, especially that clarify explicit priority
 claim of holders over other claims.
3712.8 --> 3719.7: And the last one is that whether that authority have
additional and enhanced requirement on
3719.7 --> 3728.7: systemically important issues. Yep. So I think I cove
r everything. The one thing I would like
3728.7 --> 3735.0: mention is that especially the difference of eligible
 reserve asset requirement among the
3735.0 --> 3746.2: different jurisdictions may create some potential cha
llenges. For example, US is a good example
3746.2 --> 3756.2: where that probably that US treasury market will infl
ow probably the important trend if that
3756.2 --> 3765.5: stable coin continues to grow. But in the EU, they ar
e requiring quite significant deposit into
3765.5 --> 3773.1: the credit institution, which is commercial bank. And
 if, for example, different redemption
3774.0 --> 3783.7: condition may facilitate the redemption request movin
g from EU, from US to EU,
3784.6 --> 3794.1: that create potentially that reserve asset shift from
 US to EU. And when that reserve asset shift
3794.1 --> 3800.8: happen, then the reserve asset composition will also
change from US treasury market, mainly US
3800.8 --> 3812.7: treasury to the EU commercial bank deposit. And that
may create some challenge of those shift.
3812.7 --> 3816.3: So I probably I will stop here. Thank you very much f
or your attention.
3821.2 --> 3827.7: Thank you very much. We have that all presentation. T
hen we have the 30 minutes plus for the
3827.7 --> 3833.2: discussion. The goal, as I mentioned at the beginning
 of the session, the goal of this
3833.2 --> 3839.6: project is to create a sub-common understanding on th
e healthy and sustainable business model or
3839.6 --> 3846.4: industrial model for the blockchain and its related i
ndustries. It's not easy task to create
3846.4 --> 3854.2: that, but it's needed because Japan will move to that
 new regulation. Then we need to create that
3854.2 --> 3863.8: healthy and sustainable, some rules. Without that, th
e worst case scenario is there is no
3863.8 --> 3870.9: in Japan. Anyway, so we should avoid that kind of sit
uation. So this is the reason why this
3870.9 --> 3879.3: discussion is quite important at this moment. But any
way, so I would like to, you know, we see
3879.3 --> 3886.6: your face, Jim. And so I would like to ask Jim Angel.
 So he is a professor at Georgetown University
3887.2 --> 3895.0: and he has a lot of job with about the blockchain ass
et with inside that academia, but also with
3895.0 --> 3901.7: U.S. government. And I would like to hear your feedba

ck because I would like, you know, it's
3901.7 --> 3909.2: just beginning phase to create that kind of report or some document. And it's a very just beginning,
3909.5 --> 3914.4: you know, discussion paper. But I would like to hear your opinion that what is good and what is
3914.4 --> 3918.8: what should be improved or what is needed in contents in the future?
3920.7 --> 3927.1: Well, yeah. Thank you, Mitsuo sensei. It is an honor to be invited to comment on the draft.
3927.6 --> 3933.3: I can see that a great deal of thought and effort has been put into the draft. And
3934.2 --> 3943.8: I have a few comments on the document that, you know, I particularly liked the list of
3943.8 --> 3950.9: challenges that the professor presented on slide number four, because those challenges
3950.9 --> 3957.0: are why we regulate financial instruments. You know, the very first one was fraud.
3958.4 --> 3964.3: Related to that is theft of assets, but also very important to deal with the information asymmetry
3964.3 --> 3970.8: to make sure that investors have appropriate information before they invest. Clearly,
3970.8 --> 3976.9: as is pointed out in the document, we want to protect the investors from the failure of the
3976.9 --> 3984.1: intermediaries. But on top of that, we also worry about systemic risk and we want to promote
3984.1 --> 3991.4: economic growth. And indeed, we have a large number of tools that regulators use.
3992.7 --> 3999.7: But we only have 30 minutes, not 30 hours to discuss this. So I won't, you know, give a long
3999.7 --> 4006.5: lecture on regulatory structure. One thing I was very pleased to see is the emphasis on
4006.5 --> 4013.2: the sustainability of the ecosystem. That, you know, very, very refreshing because
4013.9 --> 4023.9: that actually rarely comes up in discussions of regulation. That now in the list of
4024.8 --> 4035.0: participants, I would suggest some additions. In particular, some very important participants
4035.0 --> 4041.6: in the financial ecosystem are the data intermediaries, the data providers,
4043.0 --> 4052.1: the institutions that gather and disseminate data. That is an important part of the market.
4054.3 --> 4064.6: Likewise, although the exchanges are listed, in trad-fi markets, you know, we also have
4064.6 --> 4070.6: separate intermediaries, such as the investment bankers, who are the folks out selling and
4070.6 --> 4079.8: marketing new issues. And I'd also like to add the media, you know, the coin desks of the world,

4079.8 --> 4089.6: which are also, you know, very, very important. Now, one thing I thought was very interesting was
4089.6 --> 4100.1: the reliance on a self-regulatory organization. I think it's rather funny in that I may be
4100.1 --> 4107.3: testifying before the US Congress next week on our use of SROs. And I think the
4109.8 --> 4118.8: topic will be, you know, should we be merging, you know, one SRO into another? So when I see this,
4119.9 --> 4130.1: and the paper discusses this, the JVCEA is a very small organization. And the paper points out that
4130.1 --> 4139.8: the JSDA is much larger. So the natural question that comes up is, well, should we just
4139.8 --> 4148.0: let the JSDA handle it? Should their remit be expanded to the point where they have a
4151.8 --> 4158.8: jurisdiction over it? You know, this would avoid the problem of having people needing to
4158.8 --> 4169.7: join or deal with two different SROs. But indeed, designing an SRO and figuring out its powers is
4169.7 --> 4179.6: actually very tricky, in that at one extreme, an SRO is nothing more than a trade association
4179.6 --> 4188.1: that lobbies on behalf of members. But the questions are, you know, how much power does the
4188.1 --> 4198.5: SRO have? Are people required to join it? Can it find members? Can it expel members?
4199.6 --> 4206.4: And of course, who monitors the SRO? And how effective is that monitoring?
4208.6 --> 4218.4: That, I mean, this is a very exciting time. We are looking at the opportunity to re-engineer
4219.4 --> 4227.1: actually how we raise capital for capital raising opportunities. And I like the fact that, you know,
4227.1 --> 4232.3: the paper clearly distinguishes between situations where capital is being raised
4233.2 --> 4240.9: and situations where it is not. I think that is a very key criterion and a very, very important one.
4245.5 --> 4255.5: Now, one of the issues that comes up is we have these regulations on the issuers. We're trying
4255.5 --> 4263.1: to promote capital formation, you know, especially with the token offerings on the exchanges.
4263.8 --> 4272.4: But the exchanges will also be handling foreign tokens or tokens issued elsewhere. There's a
4272.4 --> 4280.1: demand for, well, one of the wonderful things about the crypto world is its global nature.
4281.0 --> 4290.0: So, this brings up the question of how can we get appropriate compliance when the tokens are issued
4290.0 --> 4302.9: outside the country? And this is where I think we can force the exchanges to only list compliant
4302.9 --> 4310.8: assets that provide appropriate information about wha

t is happening inside those tokens.
4312.6 --> 4316.2: We have an approach in the United States in our over-the-counter market
4316.8 --> 4325.3: in which brokers can't list and trade a security unless they certify that the information is
4325.3 --> 4334.7: available. And I think that is definitely one possibility. So, those are my primary comments so
4334.7 --> 4343.3: far. Once again, I want to thank you for the honor of being invited to give comments. And I want to
4345.1 --> 4351.8: actually congratulate the authors, you know, because it is a very important aspect that's
4351.8 --> 4358.2: going on. Again, my major comment is I'd like to see more information about
4359.1 --> 4368.4: how exactly the self-regulatory organization is structured and how it will actually function.
4369.7 --> 4376.5: But that's the only comment I have. Thank you. Thank you very much. So, very useful comments.
4376.5 --> 4383.8: But I think that, you know, the person in this room might have some reaction to that
4383.8 --> 4389.4: suggestion or comment by James Angel. Is there any comment or question?
4401.0 --> 4402.1: Nothing? Okay.
4402.1 --> 4405.3: Okay. We have one.
4419.3 --> 4424.4: I have a comment to the – I have comments to discussion paper.
4427.0 --> 4441.4: In 5B, can industry soundness be ensured through functional separation and shared infrastructure?
4445.7 --> 4455.8: It's proposed the idea of sharing exchange functions. However, I have concerns about
4455.8 --> 4464.1: sharing cryptoasset custody and clearing settlement functions. Cryptoasset custody,
4464.9 --> 4477.8: a shared cryptoasset custody lies concerns from both technical perspective and standpoint of
4477.8 --> 4490.8: customer interest. First, many Japanese exchanges engage in staking. So, a shared custody would
4490.8 --> 4499.2: consolidate staking into a single entity, reducing the diversity and decentralization
4499.2 --> 4510.1: of validators. Additionally, competition among exchanges to maximize staking rewards paid to
4510.1 --> 4520.5: customers would – okay. See, that's all. Sorry.
4531.1 --> 4546.2: Second, shared clearing settlement functions could delay settlement beyond T plus one or T plus two,
4546.9 --> 4554.7: preventing instant settlement. Cryptocurrencies are traded globally.
4560.9 --> 4575.6: So, there is a need to arbitrage real time, but delays in settlement and arbitrage
4575.6 --> 4586.8: opportunities. Vertical integration of custody, clear

ing, and settlement functions within an
4587.6 --> 4596.0: exchange creates a conflict of interest challenge.
4600.8 --> 4611.1: However, I believe we need to develop an industry str
ucture suited to the blockchain sector.
4612.1 --> 4612.7: That's all.
4620.5 --> 4625.6: Okay, thank you for your comment and question. So, as
 a reaction to that comment,
4626.0 --> 4639.5: okay. Thank you for the comment on the paper. Yeah, I
 think the point you raised is very
4639.5 --> 4647.1: interesting. The first one is like the staking thing.
 Yeah, I understand that the diversity of
4647.1 --> 4663.1: the staking is very important to maintain the trustwo
rthiness on the blockchain. But I think,
4663.3 --> 4670.5: as I mentioned, that we need to separate the discussi
on of what should be competed on and
4670.5 --> 4679.8: what should be shared. So, I think that's a very inte
resting dilemma to discuss. The
4679.8 --> 4689.4: staking service should be competed on or should be sh
ared. So, I don't think I can conclude
4690.1 --> 4694.4: at the moment. But yeah, I think it's a very interest
ing topic to discuss.
4694.4 --> 4709.9: The second point is the clearing things. I think I ca
n make another interesting topic to discuss
4709.9 --> 4720.6: about that. It's like if all of the crypto exchanges
use the same crypto custodian,
4721.5 --> 4735.6: if you're going to send a crypto to the other crypto
exchanges, if those crypto exchanges
4735.6 --> 4745.6: are using the same custodian, technically this crypto
 exchange doesn't need to send a crypto
4745.6 --> 4755.1: actually, because they are already using the same cus
todian. So, they can just offset the
4755.9 --> 4770.5: amount of the crypto within the same custodian, which
 means that you can settle the crypto
4774.0 --> 4779.1: almost within the t plus zero. So, what do you think
of that?
4781.5 --> 4782.4: Okay, thank you very much.
4786.7 --> 4797.4: Yeah, thank you very much for the very interesting pr
oposal on the creation of
4797.4 --> 4803.4: centralized token custodian. And I think setting asid
e the issue of competition,
4803.9 --> 4809.7: I think the introduction of centralized token custodi
an will improve the efficiency
4810.3 --> 4819.4: of the crypto market, because the process of economy
of scale tends to work in this kind
4819.4 --> 4824.3: of businesses. But at the same time, from the perspec
tive of financial stability,
4824.8 --> 4833.7: the concentration of custodian business could increas

e the concentration risk. And in this
4833.7 --> 4842.4: respect, I think the existence of custodians in the t
raditional securities would not be
4842.4 --> 4850.1: sufficient to support the introduction of crypto cent
ralized token custodian, because the risk
4850.1 --> 4857.6: profile of custodial business might be different to e
ach other. Because in the traditional
4857.6 --> 4870.4: securities settlement framework, not only the custodi
an, but also the CSTs, central securities
4870.4 --> 4881.1: depositories, plays a crucial role. And in the multip
le structure system, the securities
4882.2 --> 4893.1: and also the ownership of the securities are recorded
 and ensured. But in case of risk
4893.1 --> 4902.8: custody business, the key part which ensures security
 would be the key management of the
4902.8 --> 4913.3: private keys. And if a single party in the world is r
esponsible for the key management for all the
4913.3 --> 4922.6: customers of cryptos, that might lead to the concentr
ation of risks within that party.
4922.6 --> 4924.6: How do you think about this point?
4935.3 --> 4943.0: Okay, thank you, Professor. So I'm Tana. I'm from Ver
ify Vaps, which is one of the sponsors
4943.0 --> 4948.4: of today's event. So thank you very much, first of al
l, for the very nice and excellent creation
4949.0 --> 4957.9: of the discussion topics. And Verify Vaps is a travel
 rule service provider. And for myself,
4958.1 --> 4963.4: I have a background of policymaking previously in the
 Hong Kong government and in the Financial
4963.4 --> 4970.7: Action Task Force. So having heard a lot of very wond
erful interventions and discussion on this
4970.7 --> 4976.6: topic, I would like to share a couple of observations
 from the perspective of Hong Kong,
4976.6 --> 4981.4: as well as now that I'm in the private sector. What a
re we looking at when we are talking about
4981.4 --> 4987.1: regulating crypto activities? And how do you really d
ifferentiate the different types of
4988.6 --> 4994.0: crypto asset in the domain? And how should we prevent
 regulatory arbitrage,
4994.4 --> 5001.6: which is one of the emerging themes coming out of the
 discussion? So firstly, for Hong Kong,
5001.6 --> 5008.1: I would say that the main drivers, there are a couple.
 So firstly, the international standards.
5008.6 --> 5015.0: I feel like because crypto is global in nature, as so
me of the previous speakers have shared,
5015.4 --> 5021.3: that is an importance to follow the international gua
rdrails and principles when each of the
5021.3 --> 5027.6: jurisdictions are writing its own regulation. And tha

t's why one of the main principles is the same
5027.6 --> 5032.3: activity, same risk, and same regulation. And when we 're trying to look at the risk,
5032.5 --> 5038.8: what are we talking about? I can see some of the comments and key points coming out of the
5038.8 --> 5044.0: discussion. We're talking about AML, CFT risk, and that's why we have travel coming into place.
5044.3 --> 5049.9: We're talking about consumer protection. And that's why here, when Hong Kong was drawing
5049.9 --> 5056.5: in crypto regulation back in 2019, we were following the guardrails from FedEF, from the
5057.2 --> 5062.9: FSB. As you can see, there's some peer review report last summer as well. We're trying to
5062.9 --> 5068.9: regulate the kind of risk, and that's why we emphasize disclosure. We emphasize due diligence
5068.9 --> 5075.2: process, and we emphasize transparency. And that's why there's an importance on the role of
5075.2 --> 5079.8: data intermediary, as some of the previous speakers have mentioned. And that's why we
5079.8 --> 5084.7: started small, but then the market is moving very quickly. So personally, I very much like
5084.7 --> 5092.2: the taxonomy of crypto activities in the ecosystem, and some of the contradictions or some of the
5092.2 --> 5099.6: tricky points that come out of it. For example, we started in the most primitive way. We started
5099.6 --> 5104.1: from the centralized exchange, same activity, same risk, and that's why we look at the traditional
5104.1 --> 5109.6: securities market, how do we regulate them? And we have centralized exchange. But then a couple of
5109.6 --> 5116.1: years later, there are new risks emerging from the market. And one of the major typologies is fraud.
5116.6 --> 5122.4: Another one is the insider trading. In the case of Hong Kong, we have a major fraud case. And that
5122.4 --> 5128.8: is, I mean, globally, there's FTX. In Hong Kong, there's a very specific case that is called JPEX,
5129.6 --> 5135.6: which a huge amount of money, a huge amount, a huge number of victims. And that's why we have the
5136.1 --> 5141.4: additional reform on the crypto over-the-counter exchange, the smaller players in the world. And
5141.4 --> 5148.6: that's why we now we have a VA dealing. But then we have a couple of consultations on this subject,
5148.6 --> 5155.6: because as we process, we realize the intricacies of the different crypto activities. And some,
5155.6 --> 5161.6: one of the previous speaker mentioned via sticking and market making. These are also
5161.6 --> 5167.7: some of the things that I think, like for major jurisdictions like Japan, as which have the

5167.7 --> 5174.4: aspiration to do to become a crypto hub, there is a need to introduce nuance in this, in this kind of
5174.4 --> 5180.7: regulation, regulatory regimes. And in Hong Kong, we also have the VA custodian. And when we're
5180.7 --> 5185.4: talking about VA custodian, we need to look at the specific risks, which is different from VA
5185.4 --> 5193.0: dealing, for example, cybersecurity, and therefore they have more nuanced arrangement. And I can keep
5193.0 --> 5200.7: on and on, but I'll stop here. Because the second point I want to make is, if we're talking about
5200.7 --> 5208.0: crypto, getting into the mainstream, it's getting increasingly like traditional finance, we need to
5208.0 --> 5213.8: make sure we have a comparison, I will keep a level playing field between traditional finance
5213.8 --> 5219.8: and crypto. One of one case in which is that payment transparency, instead of they upgraded
5219.8 --> 5225.0: the standard for payment transparency in, in VA, therefore, we also have this enhanced standard.
5225.2 --> 5232.4: And therefore, there's this travel rule coming out of it. And for travel rule, it highlights the
5232.4 --> 5239.0: importance of data, when we talk about, like controlling AMRS, we need to have the data and
5239.0 --> 5245.3: how do we make use of this data. And therefore, in my view, going down the road, as we further
5245.3 --> 5251.6: develop the process, we need to now look at what happens after we have the data, what happens at
5251.6 --> 5257.6: the downstream? What happens if something goes wrong in the market? How do we detect, for example,
5257.6 --> 5264.1: market manipulation? How do we trace the asset once there as a scam or when once there as a
5264.1 --> 5269.5: hacking, like the Bybit hack? And this are the importance and this, this are something that I
5269.5 --> 5276.2: would introduce people in this room to think about in their own role. What can we do to strengthen
5276.2 --> 5281.5: the regulation to make it more holistic and reduce the regulatory arbitrage? Thank you.
5283.1 --> 5284.6: Thank you very much, Yura.
5287.6 --> 5295.5: Thank you. I think this paper is very interesting one. And I, my general observation on the section
5295.5 --> 5303.0: five is, I think this section raises lots of interesting points. But still, I feel it is a
5303.0 --> 5312.4: little bit high level and the conceptual stage. So maybe the industry people looking at this section
5312.4 --> 5323.5: feel like it's like in the scope of five to 10 years horizon. So maybe we can like make it,
5325.3 --> 5331.6: this section can like it over a little bit more on the details, how we can, how it should look

5331.6 --> 5341.8: like and how we can like envision or achieve this state, like step by step. And, and, and especially
5341.8 --> 5353.6: in the section, yeah, five, five B, I think the function separation is discussed around the globe,
5353.6 --> 5361.1: but, but it's, there's no like definitive answer yet. So how we can like,
5362.4 --> 5369.4: how should I say, like this paper structure up until section four, it is very, very Japanese
5369.4 --> 5376.3: oriented discussion. And section five is, is a little bit or somewhat like global. So
5376.3 --> 5386.8: how we can bridge between this concept of, of global crypto ecosystem to Japanese specific
5386.8 --> 5395.9: context, that is maybe helpful for the Japanese industry to think about what they can do from the
5395.9 --> 5402.1: day one or day two, rather than like in five years or 10 years. That is my first observation.
5402.9 --> 5411.4: The second observation is more, more on the suggestion. I think section five talks and
5411.4 --> 5419.3: section four also talks about like, in, in, in difference to existing like securities market,
5419.4 --> 5428.2: capital markets, maybe you can like provide some graphical presentation, how this, for example,
5428.2 --> 5436.9: in the, maybe you can talk about how it looks like in current crypto industry in Japan. And then
5436.9 --> 5443.9: you can present how the Japanese securities and capital market looks like. And, and maybe in
5443.9 --> 5454.0: between how the future of crypto plus capital market can look like. That will help me to
5454.0 --> 5462.2: understand what your vision. Maybe it's, for now, a little bit difficult to understand
5463.0 --> 5471.1: what the whole ecosystem look like in the future. That's the second observation, my suggestion.
5471.4 --> 5481.2: Thank you. Thank you very much. Anyway, that, you know, there's, okay, Hirano-san first, then
5481.2 --> 5488.6: Yamaka-san. But the comment from Yura is, you know, not new problem, but it's an
5489.8 --> 5494.9: international, global, and national problem. But that is a challenge. So,
5495.4 --> 5500.8: the blockchain ecosystems, since the Sasoshi Nakamoto paper. But anyway, that is an important
5500.8 --> 5510.3: point. Thank you. Thank you. I'd like to add two points in this paper. One is on the necessity of
5510.3 --> 5520.9: CRO for stablecoins. So, if we require CRO for stablecoins. And second point is when we
5523.3 --> 5530.6: more popularize the crypto asset or stablecoin is a very big issue that the confidentiality
5530.6 --> 5537.1: of the blockchain address or enterprise. So, that kin

d part I'd like to discuss. Thank you.
5538.2 --> 5539.2: Thank you very much.
5544.6 --> 5549.9: Yeah, thank you very much, Masuo-sensei. I'd like to make some comments on the previous issues. And,
5550.3 --> 5560.4: yes, looking back my own experiences at the FSB and the Basel committee, I still couldn't figure
5560.4 --> 5568.6: the economic rationale why we need a centralized custody for the asset based on decentralized
5568.6 --> 5576.8: technology. When I, in 1990s, I worked in the BIS, Bank of International Settlements, to establish
5576.8 --> 5585.2: the CSD, centralized security deposit. And the main reason is that it would be, how to say,
5585.2 --> 5593.7: more efficient to establish centralized securities custody or dematerialized securities.
5594.6 --> 5601.8: The reason is that there might be some conflicts, legal conflict, between the physical position
5601.8 --> 5610.8: of the physical securities and the electric database on the CSD. So, it would be better
5610.8 --> 5617.9: to, how to say, dematerialize the physical securities and centralize all the electronic
5617.9 --> 5629.6: records in the CSD. And in 2010, I worked in the FSB to, yes, to make a recovery and resolution
5629.6 --> 5636.8: planning for the financial institution. And one of the major reasons is to abolish any kind of
5636.8 --> 5643.8: single point of failure in the financial system to maintain the stability of the financial system
5643.8 --> 5655.5: as a whole. So, my basic question is why we need a centralized custodian for the asset based on
5655.5 --> 5664.4: the decentralized technology? Because there might be some legal conflict between the record on the
5664.4 --> 5671.9: decentralized platform and the record in the custodian. So, we need to think very carefully
5671.9 --> 5678.5: why we need a centralized structure based on the decentralized platform. That's my basic
5678.5 --> 5687.0: question at this juncture. Thank you very much. Thank you. And there's, okay, Yutar, again.
5687.0 --> 5700.9: I think my question on the Section 5 is whether you envision one like central custodian in Japan
5700.9 --> 5708.2: or globally. That is also an interesting point. Maybe, for example, in the US ETPs,
5708.2 --> 5720.9: I think 80%, around 80% of the custody is provided by Coinbase. And that is one example. But
5720.9 --> 5728.2: whether the Japanese ETF want to use Coinbase as a custody or they can use Japanese one as custody,
5728.4 --> 5735.8: that is the question. I don't have an answer yet, but that kind of, and this will also
5735.8 --> 5743.8: relevant to protecting Japanese customer in the case

of stress or in case of resolution.
5745.3 --> 5752.0: So, as of now, I think many of the countries decided to ring-fence some of the money in
5752.0 --> 5761.5: the reserve asset, in the stable coin. And so, natura
lly, like regulators want to ring-fence
5761.5 --> 5768.6: some of the money to protect their own customers or t
heir own users. But at the same time,
5769.6 --> 5776.9: ultimately, when it comes to like economic scale or l
ike reasons why decentralized, maybe
5777.9 --> 5788.2: we might want to use the central custody globally. So,
 I think there is not black and white,
5788.2 --> 5794.1: centralized or decentralized, more on the gray zone, like completely centralized globally or
5794.1 --> 5800.4: completely decentralized in between, like centralized
 within the domestic market or
5801.1 --> 5808.6: like having two or three custodians domestically. So,
 this kind of thing is still under discussion
5808.6 --> 5815.4: and I think this like Section 5 can discuss this kind
 of thing in a more detailed way.
5815.4 --> 5823.0: Okay. Thank you very much. It's time, but is there an
y question or comment from remote participants?
5826.5 --> 5827.4: Okay, Jim.
5828.0 --> 5835.3: I do have another suggestion with regard to the debat
e over centralized custody.
5835.9 --> 5842.7: One way to think of crypto assets is that we have cre
ated digital bearer assets. Now,
5842.7 --> 5850.0: for many of the reasons why many people did not want the two self-custody bearer assets,
5850.3 --> 5857.0: particularly institutions, the same reasoning applies.
 Not every institution or investor
5857.0 --> 5864.3: wants to deal with these cyber risks, for example, of
 self-custody. So, it makes sense to outsource
5864.3 --> 5871.4: custody. And I think it's definitely worth thinking a
bout whether a central custodian
5871.4 --> 5880.1: actually makes sense or whether the existing central depository infrastructure can be updated
5880.1 --> 5889.1: to actually hold digital assets. But basically, the a
rgument to outsource custody is almost the
5889.1 --> 5895.5: same for any kind of bearer asset. Not every investor
 wants the risk of self-custody.
5899.3 --> 5908.5: Okay. Okay. It's almost time. Is there anyone who wou
ld like to say some final words?
5910.6 --> 5914.6: Okay. Professor Morisada, please conclude that essay.
5915.6 --> 5924.8: Thank you very much for very valuable comments. And I
 think that in discussion paper, we started
5924.8 --> 5932.3: some brainstorming work, especially the crypto asset is a risky business. There are also risks.

5933.1 --> 5941.6: And for example, the idea to centralize custodian is one of the idea how to allocate the law.
5941.9 --> 5949.4: Probably, it's a big pity that only the parties who can, you know, who have the sufficient funds
5949.4 --> 5956.3: and the people of human resources who could address all risks will be a bit, you know,
5956.9 --> 5964.7: too restrictive. So, if we can find a good allocation of the roles or risks for the
5964.7 --> 5975.5: sound market, the market could develop further. So, today we learned various ideas. So, I hope that
5976.2 --> 5987.2: all of you could send up ideas or comments to Matsuo-sensei or us. And I hope that we could
5987.2 --> 5991.3: produce the second version of the discussion paper. And thank you very much.
5991.7 --> 5995.1: Okay. Thank you very much. Anyway, that's the beginning of this working group. We will
5995.7 --> 6003.4: continue our work to improve this document. And so, please join us in the future working group
6003.4 --> 6010.0: Zoom call to discuss more about that. Thank you very much for your time. And we have the lunch
6010.0 --> 6015.0: time until 1.30 p.m. Japanese time. Thank you very much for joining.